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STOCKS

Amazon.com Can't Neglect Its Retail Roots

Amazon.com's success in the cloud is well documented, but it must show its core retail business can eventually be highly profitable, too

By Steven Russolillo

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Amazon.com Chief Executive Jeff Bezos BLOOMBERG NEWS

Amazon.com Inc. AMZN 3.91% ▲ boss Jeff Bezos is fond of saying "your margin is my opportunity."

Traditional retailers who scoffed at him 19 years ago when Amazon went public aren't any more. Shareholders who stuck with the company, on the other hand, are laughing all the way to the bank with a 2,400% gain in the past decade.

Yet, with the e-commerce giant set to report its sixth consecutive quarter in the black on Thursday, the source of more than half of its pretax operating earnings in its most recent report, is someone else's opportunity.

Amazon Web Services, the cloud-computing unit, will be affected by the offsetting trends of rapid growth and brutal competition that has left much of the market commoditized. Competitors such as Alphabet Inc.'s Google, International Business Machines Corp. and Microsoft Corp. are no dowdy brick-and-mortar merchants. What's more, AWS might fetch far less as a stand-alone company than what its profits have helped tack onto Amazon's market value.

Investors therefore need to do more than see if Amazon misses or beats analyst consensus third-quarter estimates Thursday. They will look for signs that its core retail business can eventually be highly profitable.

Massive investment in Amazon's warehouse and delivery infrastructure makes its position increasingly difficult to challenge. Newer endeavors into music, groceries and apparel are starting to pay off, too. Amazon is expected to top Macy's Inc. next year as the biggest apparel seller in the U.S., according to Cowen & Co.

Amazon's Prime membership program also is growing significantly. As of last month, Amazon is estimated to have 65 million U.S. Prime members, more than double what it had two years ago, according to Consumer Intelligence Research Partners. The research firm estimates Prime members spend about twice as much as non-Prime customers.

But the stock trades above $800, having surged about 70% since February. About 90% of analysts who cover Amazon rate the stock a "buy," the most bullish Wall Street has been on it since the dot-com boom. At least four have price targets of at least $1,000.

Hovering in this rarefied territory could leave the stock susceptible in the short run. Evidence of coming retail profitability, though, could put it in prime position.

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Steven Russolillo is a former deputy coverage chief on the Speed & Trending desk, a team focused on breaking news and covering trending stories and topics across search and social media.

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